GMS WEEKLY

Your Source for Recycling News

January 13th, 2023
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Week 2

Highlights:

- **Recovery due?**
- **Few LCs.**
- **India focus.**
- **Awaiting loan.**
- **Buyers keen.**
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QUOTE of the WEEK

"Not having the best situation, but seeing the best in your situation is the key to happiness."

– Marie Forleo

MARKET COMMENTARY

FEARING FINANCING!

Markets seem poised for some sort of recovery as steel prices inch up again (especially in India and Pakistan) and currencies seem to find a newfound acceptance at historic lows across the major recycling destinations, after what has been a bitterly silent 2022 full of declines and falls.

Financing remains of chief concern in both Bangladesh and Pakistan, with very few end users capable of opening fresh L/Cs on the import of vessels, although some are getting on by with private financing, which usually means and usance (rather than sight) L/Cs or higher interest rates.

The focus therefore falls on India for another week, on the few vessels that are available from larger Container Owners. Most of these are for HKC recycling only, and as such, would be heading to Alang anyway, regardless of the L/C concerns elsewhere.

With the Chinese New Year only about a week or so away, there is perhaps a shortage of candidates as owners wait to see if freight rates improve after China returns, particularly with its Zero-Covid policy having been recently abandoned and world economies continue to try getting back to normal.

If the mooted IMF loan to Bangladesh can finally be negotiated to ease the financial crisis there, we may see further competition from a traditionally bullish Chattogram market. Buyers in Pakistan are similarly keen to buy, but without L/C financing, it is currently very hard for Cash Buyers to get paid at present, so this is another wait-and-watch scenario for this market for now.

On the far end, Turkey continues to impress as plate prices improve and despite a continually weakening Lira, local prices continue to firm up, perhaps thanks to some of the Turkey only candidates that are rumored to be working basis an early Spring delivery.

For week 2 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Stable	520 / LDT	530 / LDT	540 / LDT
2	Pakistan	Weak	510 / LDT*	520 / LDT*	530 / LDT*
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

BANKING ON IMF!

Lacking LCs.

Following another week of inability to open L/Cs, Bangladesh remains a market bereft of confidence, ideas, and tonnage.

Sentiments remain dull as even though end Buyers want to offer afresh on tonnage, they simply cannot under the present circumstances (restrictions).

Bereft.

Local steel plate prices continue to flatline, indicating bare minimum trading activity on the back of non-existent tonnage at local yards. The Bangladeshi Taka too continues to fluctuate violently between BDT 102 and BDT 106, currently having ended the week at BDT 104 against the U.S. Dollar.

As such, much will depend on the progress of the ongoing expectation that the IMF loan would likely inject some much-needed U.S. Dollars into the country, so that business and industry can resume as normal.

NO MARKET SALES REPORTED

INDIA

MARKET OF MOMENT!

As the go to market of the moment, Alang Buyers have been increasingly enquiring on the number of container vessels in the market that are largely for HKC green recycling.

Counting containers.

Even for those units not intended for green recycling, given India's financial reserves and ability to open fresh L/Cs, it may be the only destination in the sub-continent that will invariably be the final destination for recycling candidates in the foreseeable future.

On the fundamentals front, steel prices have improved over the course of the week by about USD 8/Ton, whilst the Rupee has gained some much-needed ground to finish trading in the mid Rs. 81s against the U.S. Dollar, having previously been nearly sniffing Rs. 83.

Sales focussed.

As such, most of the market activity and sales will be focussed on India for the time being, at least until Pakistan and Bangladesh sort their respective financial situations out.

NO MARKET SALES REPORTED

PAKISTAN

STUNNED!

LC inability.

The Pakistani market has been stunned by the sudden inability of domestic Recyclers to open fresh L/Cs, after restrictions were recently imposed by the state bank on spending their precious foreign currency reserves of U.S. Dollars on ships for recycling.

Several deals have therefore entered troubled waters, having previously been concluded at decent levels - the highest the sub-continent was offering just before the Christmas break.

Alternatives.

Gadani Buyers are therefore trying to open Usance L/Cs or use private financing, rather than going through government state banks to get LCs opened and get their vessels delivered.

On the local fundamentals front, the Pakistani Rupee has been gradually decaying as it passed PKR 228 against the U.S. Dollar, only further adding to the ongoing restrictions to preserve domestic U.S. Dollar reserves.

The only impressive event that bolstered the local sentiment are local steel plate prices that skyrocketed by nearly USD 58/Ton within the week, adding to the local sentiment to figure out financing in order to ride this wave out.

NO MARKET SALES REPORTED

TURKEY

JUMP!!!

The Turkish market appears to be traversing through its own private resurgence as local steel plate prices firmed another USD 7/Ton whilst offers on units jumped another USD 20/Ton this week.

Prices jump USD 20/Ton.

All this despite import steel falling about USD 5/Ton and the Lira (like the Pakistani Rupee) slowly deteriorates towards TRY 19 against the U.S. Dollar.

Rumours of several units being talked basis an early Spring delivery have been making their rounds and given the ongoing famine of recycling tonnage, perhaps local Buyers are trying to get a jump on the market in the hopes that construction projects will resume at pace during the warmer months and plate prices will only continue to firm.

Pricing gap.

For now, Turkey is increasingly the market to consider for units coming in from the West, especially as the price gap with the Indian sub-continent continues to minimize.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *People used to say "prunes" instead of "cheese" when having their pictures taken. In the 1840s, a big—dare we say, cheesy—grin was seen as childish, so one London photographer told people to say "prunes" to keep their mouths taut. And that look predated today's "fish face" selfie by, oh, about 180 years.*
- *In the Philippines, McDonald's serves spaghetti. Some of these weird facts are very unexpected. The pasta comes with a beef tomato sauce and a piece of "McDo" fried chicken.*
- *Dunce caps used to be signs of intelligence. Thirteenth-century philosopher John Duns Scotus believed that a pointed cap would help spread knowledge from the tip to the brain, and his "Dunsmen" followers wore them as a badge of honor. In the 1500s, though, his ideas became less popular and the meaning of the Duns cap was turned on its head, becoming something of a joke.*
- *Adolf Hitler was nominated for a Nobel Peace Prize. Don't worry, the Swedish politician who sent the letter of nomination in 1939 meant it ironically and withdrew his nomination. In an even more ironic twist, Hitler had banned Germans from accepting the awards four years before his own name was thrown in the ring.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
January 26 – Republic Day	January 04 – January 11 January 19 – January 27

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No more Holidays in January	January 07 – January 10 January 22 – January 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 21 – 27 – Spring Festival	**No more Holidays in January**	**No more Holidays in January**

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ALANG - Port Position as of January 13, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Akinada Bridge*	*24,294*	*Bulk Carrier*	*Beached January 10*
2	*Cape Osprey*	*21,277*	*Bulk Carrier*	*Beached January 11*
3	Farquhar No. 2	462	Fishing Vessel	Arrived January 10
4	Hakuru	3,954	Pallet Carrier	Arrived January 12
5	MNG Grenville	976	Research Vessel	Arrived January 13
6	*Nix - 7*	*2,705*	*LPG*	*Beached January 10*
Total Tonnage		**53,668**		

CHATTOGRAM - Port Position as of January 13, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	*Bhum*	*5,104*	*Container*	*Beached January 07*
3	De Xiang	1,820	Tanker	Arrived January 06
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	Hai Feng 698	7,240	Reefer	Arrived December 21
6	*Hong Fa*	*2,172*	*Tanker*	*Beached January 07*
7	*Honor Luck*	*1,760*	*Tanker*	*Beached January 11*
8	*Joint Luck*	*2,063*	*Tanker*	*Beached January 10*
9	*Lumo*	*7,987*	*Bulk Carrier*	*Beached January 11*
10	Sun Shun	1,207	Tanker	Arrived January 06
11	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
12	Xiang Shun	1,314	Tanker	Arrived January 06
Total Tonnage		**64,199**		

GADANI - Port Position as of January 13, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Jamila*	*7,700*	*Bulk Carrier*	*Beached January 10*
2	*Lissa I*	*22,922*	*Bulk Carrier*	*Beached January 09*
4	Murad Bay	6,729	Bulk Carrier	Arrived December 27
Total Tonnage		**37,351**		

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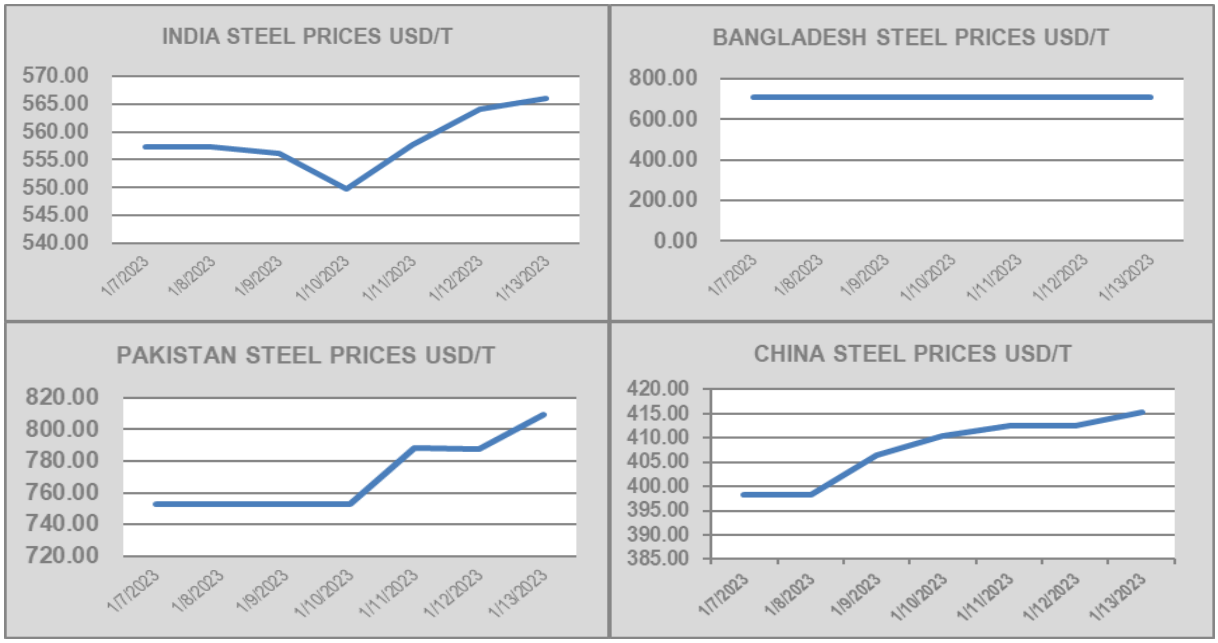
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/7/2023	557.30	46,100.00	753.05	170,000.00	707.92	71,500.00	398.25
1/8/2023	557.30	46,100.00	753.05	170,000.00	707.92	71,500.00	398.25
1/9/2023	556.16	45,800.00	753.05	170,000.00	707.92	71,500.00	406.50
1/10/2023	549.65	45,500.00	753.05	170,000.00	707.92	71,500.00	410.44
1/11/2023	557.73	45,500.00	788.09	180,000.00	707.92	71,500.00	412.51
1/12/2023	564.07	46,000.00	787.75	180,000.00	707.92	71,500.00	412.51
1/13/2023	565.99	46,100.00	809.63	185,000.00	707.92	71,500.00	415.35



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